HANGS Construction · October 2026 AP Review

DRAFT memo from the F1 Finance Accounting Machine. Unsigned. Invented demonstration data. A person reviews and decides every finding; the machine never posts or pays.

15 findings on 13 of 28 documents. $27,489.56 of asset cost went to expense, one bill was entered twice ($14,615.00), and 4 invoices need a different approval.

Fix Before Paying

KRE-2207 · Setup, delivery and sales tax went to expense · $9,617.00

> *CAP-2 Full Cost of an Asset (Policy Book page 4): "A fixed asset's recorded cost includes everything needed to buy it and get it ready for use: the price, freight and delivery, setup, installation, testing and sales tax. Book these charges to the asset, not to expense. This follows the historical cost principle under GAAP."*

The compact track loader cost $68,500.00. Getting it delivered and ready to use cost another $9,617.00: setup $1,250.00, delivery $1,950.00 and sales tax $6,417.00. Those charges went to expense, so Equipment is understated by $9,617.00 and October's expenses are overstated by the same amount. Depreciation would also be too low for the compact track loader's whole life.

Draft entry, HANGS Construction Services LLC: Capitalize the full cost of the compact track loader on KRE-2207.

Account	Job · Cost Code	Debit	Credit
1500 Equipment		$9,617.00	
6300 Repairs & Maintenance			$1,250.00
6400 Freight & Delivery			$1,950.00
6500 Sales & Use Tax			$6,417.00

BPW-5188 · Entered twice: AP-10409 and AP-10419 · $14,615.00

> *DUP-1 One Invoice, One Payment (Policy Book page 9): "Before posting, match the vendor, invoice number and amount against bills already entered. The same invoice number with different spacing or punctuation is the same invoice."*

Bluepine Concrete Works invoice BPW-5188 was entered as "BPW-5188" on October 10, 2026 and again as "BPW 5188" on October 21, 2026. Same vendor, same $14,615.00. Paying both would pay Bluepine Concrete Works twice.

Draft entry, HANGS Construction Services LLC: Reverse duplicate AP-10419 before payment.

Account	Job · Cost Code	Debit	Credit
2000 Accounts Payable		$14,615.00	
1400 Construction in Progress	27-05 · 03-100		$14,615.00

WLC-0388 · Billed to Property Holdings, booked in Services LLC · $3,860.00

> *ENT-1 Book to the Billed Entity (Policy Book page 11): "Book each invoice in the HANGS entity named on it. If another HANGS entity pays it, record that through the Due To and Due From accounts, not as an expense of the paying entity."*

Windrow Landscape Care billed HANGS Property Holdings LLC, but the bill was entered in HANGS Construction Services LLC. That overstates the Services LLC's expenses by $3,860.00. If the Services LLC pays the vendor, Property Holdings owes it $3,860.00 through the Due To and Due From accounts. Property Holdings' own history agrees: 9 of 9 bills from Windrow Landscape Care were booked there.

Draft entry, HANGS Construction Services LLC: Move WLC-0388 out of the Services LLC and record what Property Holdings owes.

Account	Job · Cost Code	Debit	Credit
1900 Due From HANGS Property Holdings LLC		$3,860.00	
6800 Property Maintenance			$3,860.00

Draft entry, HANGS Property Holdings LLC: Record WLC-0388 in Property Holdings, owed to the Services LLC.

Account	Job · Cost Code	Debit	Credit
6800 Property Maintenance		$3,860.00	
2900 Due To HANGS Construction Services LLC			$3,860.00

CPM-0412 · Delivery, installation and sales tax went to expense · $10,796.40

CAP-2 Full Cost of an Asset (Policy Book page 4): "A fixed asset's recorded cost includes everything needed to buy it and get it ready for use: the price, freight and delivery, setup, installation, testing and sales tax. Book these charges to the asset, not to expense. This follows the historical cost principle under GAAP."

The site office unit cost $42,800.00. Getting it delivered and ready to use cost another $10,796.40: delivery $2,600.00, installation $3,900.00 and sales tax $4,296.40. Those charges went to expense, so Site Office Units is understated by $10,796.40 and October's expenses are overstated by the same amount. Depreciation would also be too low for the site office unit's whole life.

Draft entry, HANGS Construction Services LLC: Capitalize the full cost of the site office unit on CPM-0412.

Account	Job · Cost Code	Debit	Credit
1510 Site Office Units		$10,796.40	
6400 Freight & Delivery			$2,600.00
6300 Repairs & Maintenance			$3,900.00
6500 Sales & Use Tax			$4,296.40

FSS-0162 · Charged to Job 26-04, invoice says Job 27-05 · $7,980.00

JOB-1 Charge the Right Job (Policy Book page 12): "Construction costs go to the job and cost code the work was for. Use the job reference printed on the invoice."

The invoice is for Job 27-05 (Larkfield Commerce Park), but it was charged to Job 26-04 (Brookstone Closeout). Brookstone Closeout's costs are overstated and Larkfield Commerce Park's are understated by $7,980.00, which throws off both jobs' margins.

Draft entry, HANGS Construction Services LLC: Move FSS-0162 to Job 27-05, cost code 02-200.

Account	Job · Cost Code	Debit	Credit
1400 Construction in Progress	27-05 · 02-200	$7,980.00	
1400 Construction in Progress	26-04 · 02-200		$7,980.00

LSI-0930 · The robotic total station was expensed · $7,076.16

CAP-1 Capitalization Threshold (Policy Book page 4): "Record any single item that costs $5,000 or more and will be used for more than one year as a fixed asset. The threshold applies to each item, not to the invoice total."

CAP-2 Full Cost of an Asset (Policy Book page 4): "A fixed asset's recorded cost includes everything needed to buy it and get it ready for use: the price, freight and delivery, setup, installation, testing and sales tax. Book these charges to the asset, not to expense. This follows the historical cost principle under GAAP."

The robotic total station is one item costing $6,480.00 that will be used for years, so CAP-1 makes it a fixed asset. It was booked to 6200 Small Tools & Supplies. The whole $7,076.16, including its sales tax, belongs in 1500 Equipment, and it gets depreciated over its life.

Draft entry, HANGS Construction Services LLC: Capitalize the full cost of the robotic total station on LSI-0930.

Account	Job · Cost Code	Debit	Credit
1500 Equipment		$7,076.16	
6200 Small Tools & Supplies			$7,076.16

SWR-8134 · Booked $14,030.00, invoice says $14,300.00 · $270.00

BOOK-1 Enter What the Invoice Says (Policy Book page 9): “Enter the invoice total exactly as printed. Do not round, and do not re-key amounts from memory.”

The bill was entered as $14,030.00, but the invoice total is $14,300.00. The $270.00 gap divides evenly by 9, which is the usual sign of two swapped digits. Payables and job cost are understated by $270.00.

Draft entry, HANGS Construction Services LLC: Correct AP-10420 to the invoice total of $14,300.00.

Account	Job · Cost Code	Debit	Credit
1400 Construction in Progress	27-05 · 07-300	$270.00	
2000 Accounts Payable			$270.00

QBP-3077 · Booked as repairs & maintenance, with no job · $8,460.00

JOB-1 Charge the Right Job (Policy Book page 12): “Construction costs go to the job and cost code the work was for. Use the job reference printed on the invoice.”

Rough-in plumbing is a construction cost of Job 27-05 (Larkfield Commerce Park), but it was booked to 6300 Repairs & Maintenance with no job. The job’s cost is understated by $8,460.00 and October’s expenses are overstated by the same amount. All 14 of Quarry Bend Plumbing’s past bills went to 1400 · 15-400 Plumbing.

Draft entry, HANGS Construction Services LLC: Move QBP-3077 to Job 27-05, cost code 15-400.

Account	Job · Cost Code	Debit	Credit
1400 Construction in Progress	27-05 · 15-400	$8,460.00	
6300 Repairs & Maintenance			$8,460.00

On Hold

CPM-0412 · Over Morgan’s approval limit

APR-1 Approval Limits (Policy Book page 7): “Project managers approve up to $10,000 per invoice, on their own jobs only. The Controller approves up to $50,000. Anything above $50,000 needs the CFO.”

Morgan Lee (Controller) approved $53,596.40, but the Controller’s limit is $50,000.00. Jordan Hale (CFO) needs to approve it.

Request: Jordan Hale’s approval for CPM-0412 (Jordan Hale, CFO). Status: Waiting.

FSS-0162 · Approved by the wrong project manager

APR-1 Approval Limits (Policy Book page 7): “Project managers approve up to $10,000 per invoice, on their own jobs only. The Controller approves up to $50,000. Anything above $50,000 needs the CFO.”

Sam Whitaker approved it as a Job 26-04 bill. The invoice is for Job 27-05 (Larkfield Commerce Park), which is Dana Ortiz’s job, so Dana Ortiz needs to approve it.

Request: Dana Ortiz’s approval for FSS-0162 (Dana Ortiz, Project Manager). Status: Waiting.

AER-7731 · Over Dana’s approval limit

APR-1 Approval Limits (Policy Book page 7): “Project managers approve up to $10,000 per invoice, on their own jobs only. The Controller approves up to $50,000. Anything above $50,000 needs the CFO.”

Dana Ortiz (Project Manager) approved $18,900.00, but a project manager’s limit is $10,000.00. Morgan Lee (Controller) needs to approve it.

Request: Morgan Lee’s approval for AER-7731 (Morgan Lee, Controller). Status: Waiting.

MLE-1402 · Approval covers only the subtotal

APR-2 Approve the Full Amount (Policy Book page 7): “An approval covers the invoice total, including tax and freight. Approving the subtotal does not approve the invoice.”

APR-1 Approval Limits (Policy Book page 7): “Project managers approve up to $10,000 per invoice, on their own jobs only. The Controller approves up to $50,000. Anything above $50,000 needs the CFO.”

Dana Ortiz approved $9,800.00, the subtotal before tax. The invoice total is $10,333.60, which is over a project manager’s $10,000.00 limit. Morgan Lee (Controller) needs to approve the full amount.

Request: Morgan Lee's approval for MLE-1402 (Morgan Lee, Controller). Status: Waiting.

BCP-1009 · New vendor with no W-9 on file

> *VEN-1 New Vendors (Policy Book page 14): "Do not pay a new vendor until a signed Form W-9 is on file."*

Brightwater Concrete Pumping was added as a vendor on October 24, 2026, and there is no signed W-9 on file. Hold the $3,150.00 payment until it arrives. The coding is fine: the Cost Code Guide puts concrete and pumping under 03-100 Concrete.

Request: Signed Form W-9 from Brightwater Concrete Pumping (Brightwater Concrete Pumping). Status: Waiting.

KRE-2219 · Booked bill with no invoice on file

> *DOC-1 No Invoice, No Payment (Policy Book page 13): "Every bill entered for payment needs the vendor's invoice on file before it is paid."*

AP-10423 for Kestrel Ridge Equipment invoice KRE-2219 ($2,336.88) is waiting to be paid, but the capture export has no invoice for it. Get the invoice before paying. Until it arrives there is nothing to check the amount, job or approval against.

Request: Invoice KRE-2219 from Kestrel Ridge Equipment (Kestrel Ridge Equipment). Status: Waiting.

Needs a Person

SWR-8135 · Invoice is not in the books · $7,150.00

> *CUT-1 Month-End Cutoff (Policy Book page 10): "Work finished by the last day of the month belongs in that month. If the bill is not entered by close, accrue it and reverse the accrual when the bill is entered."*

Stonewick Roofing billed $7,150.00 for work the invoice says was finished on October 29, but there is no booked bill for it. Without an accrual, October's costs and payables are understated by $7,150.00. A person decides whether the work belongs in October.

Draft entry, HANGS Construction Services LLC: Accrue SWR-8135 for October. Reverse on November 1 when the bill is entered.

Account	Job · Cost Code	Debit	Credit
1400 Construction in Progress	27-05 · 07-300	$7,150.00	
2100 Accrued Liabilities			$7,150.00

Open Items

Every finding above stays open until a person accepts the fix or overrides it with a reason. Requests stay open until the document or approval arrives. This memo is not a sign-off.